

Chapter 3E: Other Sources

Illustration 01 [PYQ Nov 2016]

Mr. Rakesh has 15% share holding in RSL (P) Ltd. and has also 50% share in Rakesh & Sons, a partnership firm.

The accumulated profit of RSL (P) Ltd. is 20 Lakh. Rakesh & Sons had taken a loan of ₹ 25 Lakh, from RSL (P) Ltd. Explain, whether the above loan is treated as dividend, as per the provision of Income Tax Act, 1961.

Solution

As per Section 2(22)(e), any payment by a company, not being a company in which public are substantially interested, of any sum by way of advance or loan:

- to a shareholder, being a person who is the beneficial owner of shares holding not less than 10% of voting power, or
- to any concern in which such shareholder is a partner and in which he has a substantial interest (i.e., he is beneficially entitled to not less than 20% of the income of such concern) is deemed as dividend, to the extent the company possesses accumulated profits.

In the present case, the loan given by RSL(P) Ltd. to Rakesh & Sons, a partnership firm would be deemed as dividend, since Mr. Rakesh is the beneficial owner of 15% shareholding in RSL(P) Ltd. and also has substantial interest in Rakesh & Sons (as he is beneficially entitled to 50% of the income of the firm)

However, the amount of loan would be deemed as dividend only to the extent RSL(P) Ltd. possesses accumulated profits. Therefore, out of the loan of ₹ 25 lakhs given to Rakesh & Sons, only ₹ 20 lakhs, being the amount of accumulated profit of RSL (P) Ltd., would be deemed as dividend.

Illustration 02 [PYQ Nov 2016]

State with reason whether the following receipt is taxable or not under the provision of Income-tax Act, 1961?

Mr. Suri received a sum of ₹ 5,00,000 as compensation, from 'Yatra Foundation', towards the loss of property on account of Flood Disaster at Chennai during December 2025.

Solution

Taxability of receipt under the provision of the Income-tax Act, 1961

Taxable/ Not Taxable	Reason
Taxable	As per Section 10(10BC), any amount received or receivable as compensation by an individual, on account of any loss or damage caused by disaster, from the Central Government, State Government or a local authority is exempt from tax, to the extent the individual has not been allowed deduction under any other provision of the Income-tax Act, 1961.

	However, in this case, since Mr. Suri has received a compensation of ₹ 5 lakhs from Yatra Foundation, and not the Central or State Government or local authority, no exemption will be available under Section 10(10BC).
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Illustration 03 [PYQ May 2018]

Discuss the taxability of the following receipts in the hands of Mr. Sanjay Kamboj under the Income Tax Act, 1961 for A.Y. 2026-27:

1. ₹ 51,000 received from his sister living in US on 1-6-2025.
2. Received a car from his friend on payment of ₹ 2,50,000, the FMV of which was ₹ 5,50,000.

Solution

Computation of Income from other sources:

1. Gift received from relative is not taxable irrespective of amount. Since in the give case gift is received by Sanjay from his sister, hence not taxable.
2. As per Sec. 56(2)(vii), motor car is not a movable property, hence in the given case it will not be chargeable to tax irrespective of amount.

Illustration 04 [PYQ Nov 2018]

Examine with brief reasons, whether the following are chargeable to income-tax and the amount liable to tax with reference to the provisions of the Income Tax Act, 1961: During the previous year 2025-26, Mrs. Aishwarya, resident, received a sum of ₹ 8,50,000 as dividend from Indian companies and ₹ 4,00,000 as dividend from Indian equity oriented mutual fund units.

Solution

Charge-ability	Amount liable to tax (₹)	Reason
Taxable	8,50,000	Dividend received of ₹ 10 lakhs from Indian companies taxable in the hands of shareholder. No exemption is available from A.Y. 2026-27. As per section 10(35), income received from units of mutual fund is fully taxable now Hence, ₹ 8,50,000, being the dividend from Indian companies and ₹ 4,00,000, being the dividend from Indian equity oriented mutual fund units is taxable in the hands of Mrs. Aishwarya.

Illustration 05 [PYQ Nov 2020]

Ms. Julie received following amounts during the previous year 2025-26.

- (1) Received loan of ₹ 5,00,000 year from the ABC Private Limited, a closely held company engaged in textile business. She is holding 10% of the equity share capital in the said company. The accumulated profit of the company was ₹ 2,00,000 on the date of the loan.
- (2) Received Interest on enhanced compensation of ₹ 5,00,000. Out of this interest, ₹ 1,50,000 relates to the previous year 2021-22, ₹ 1,90,000 relates to previous year 2022-23 and ₹ 1,60,000 relates to previous year 2023-24. She paid ₹ 1 lakh to



her advocate for his efforts in the matter. Discuss the tax implications, if any, arising from these transactions in her hand with reference to Assessment Year 2026-27.

Solution

- (a) Loan of ₹ 5 Lacs taken by Ms. Julie from the closely held company will be treated as deemed dividend u/s 2(22)(e) to the extent of accumulated profit i.e. 2 lacs. It will be taxable under the head income from other sources.
- (b) Interest on enhanced compensation of ₹ 5 Lacs is taxable under the head income from other sources after giving the deduction u/s 57 of 50%. Net taxable amount is 2,50,000.

Illustration 06 [PYQ Jan 2021]

Discuss the taxability of the following transactions giving reasons, in the light of relevant provisions, for your conclusion.

Mr. Rajpal took a land on rent from Ms. Shilpa on monthly rent of ₹10,000. He sub-lets the land to Mr. Manish for a monthly rent of ₹11,500. Manish uses the land for grazing of cattle required for agricultural activities. Mr. Rajpal wants to claim deduction of ₹ 10,000 (being rent paid by him to Ms. Shilpa) from the rental income received by it from Mr. Manish.

Solution

The rent or revenue derived from land situated in India and used for agricultural purposes would be agricultural income under section 2(1A)(a). Therefore, rent received from sub-letting of the land used for grazing of cattle required for agriculture activities is agricultural income. The rent can either be received by the owner of the land or by the original tenant from the sub-tenant.

Accordingly, rent received by Mr. Rajpal from Mr. Manish for using land for grazing of cattle required for agricultural activities is agricultural income exempt u/s 10(1). As per section 14A, no deduction is allowable in respect of exempt income.

Illustration 07 [PYQ May 2022]

Mr. Lalit, a dealer in shares and securities, has entered into following transactions during the previous year 2025-26:

1. Received a motor car of ₹ 5,00,000 as gift from his friend Sunil on the occasion of his marriage anniversary.
2. Cash gift of ₹ 21,000 each from his four friends.
3. Land at Jaipur on 1st July, 2025 as a gift from his friend Kabra, the stamp duty value of the land is ₹ 6 lakhs as on the date. The land was acquired by Mr. Kabra in the previous year 2001-2002 for ₹ 2 lakhs.

Mr. Lalit purchased from his friend Mr. Abhishek, who is also a dealer in shares, 1000 shares of ABC Ltd. @ ₹ 400 each on 19th June, 2025 the fair market value of which was ₹ 600 each on that date. Mr. Lalit sold these shares in the course of his business on 23rd June, 2024.

Further, on 1st November, 2025, Mr. Lalit took possession of his residential house booked by him two years back at ₹ 20 lakh. The stamp duty value of the property as on 1st November, 2025 was ₹ 32 lakh and on the date of booking was ₹ 24 lakh. He had paid ₹ 1 lakh by account payee cheque as down payment on the date of booking.



He received a shop (building) of the fair market value ₹ 1,50,000 and cash ₹ 50,000 in distribution from the ABC (P) Ltd. at the time of liquidation process of the company in proportion of his share capital.

The balance in general reserve of the company attributable to his share capital is ₹ 1,25,000.

On 1st March, 2026, he sold the plot of land at Jaipur for ₹ 8 lakh.

Compute the income of Mr. Lalit chargeable under the head “Income from other sources” and “Capital Gains” for A.Y. 2026-27.

Solution

Computation of “Income from Other Sources” of Mr. Lalit for the A.Y. 2026-27

Particulars	₹
1. Motor car is not included in the definition of “property” for the purpose of section 56(2)(x), hence, value of the same is not taxable, even though it is received without any consideration.	
2. Cash gift is taxable under section 56(2)(x) [since the aggregate of ₹ 84,000 (₹ 21,000 x 4) exceeds ₹ 50,000]	84,000
3. Stamp value of plot of land at Jaipur, received without consideration, is taxable under section 56(2)(x), since the same exceeds ₹ 50,000	6,00,000
4. Difference of ₹ 2 lakh [1000 shares x ₹ 200] in the value of shares pf ABC Ltd. purchased from Mr. Abhishek, a dealer in shares, is not taxable as it represents the stock-in-trade of Mr. Lalit (since he is a dealer in shares) and not capital asset.	
5. Difference between the stamp duty value of ₹ 24 lakh on the date of booking (since advance was paid by account payee cheque on that date) and the actual consideration of ₹ 20 lakh paid is taxable under section 56(2)(x) since the difference exceeds ₹ 2,00,000, being the higher of ₹ 50,000 and 10% of consideration.	4,00,000
6. Distribution of assets by ABC (P) Ltd. on liquidation attributable to the accumulated profits (general reserve) of the company is taxable as dividend under section 2(22)(c).	1,25,000
Income taxable under the head “Income from other sources”	12,09,000

Computation of “Capital Gains” of Mr. Lalit for the A.Y. 2026-27

Particulars	₹
Capital gains on sale of land at Jaipur	
Sale Consideration	8,00,000
Less: Cost of acquisition [deemed to be the stamp value charged to tax under section 56(2)(x)]	6,00,000
Short-term capital gains (since held for a period of not more than 24 months. Period of holding of previous owner, Mr. Kabra, not to be considered)	2,00,000
Capital gains on distribution of assets on liquidation of ABC (P) Ltd.	



Full value of consideration for capital gains on distribution of assets on liquidation of ABC (P) Ltd.	
FMV of assets distributed	1,50,000
Cash	50,000
	2,00,000
Less: Deemed dividend under section 2(22)(c)	1,25,000
Full value of consideration for computing capital gains	75,000

Note:

1. as cost of acquisition of shares in ABC(P) Ltd. is not given in the question, capital gains on distribution of assets on liquidation of ABC(P) Ltd. in the hands of Mr. Lalit has not been computed.
2. As per section 56(1)(i), dividend income is chargeable under the head “Income from Other Sources”. Hence, deemed dividend u/s 2(22)(c) would be taxable under the head “Income from Other Sources” in the hands of Mr. Lalit, who is a dealer in shares.

Illustration 08 [PYQ Nov 2022]

Examine whether the following are chargeable to tax and the amount liable to tax:

1. Interest on enhanced compensation ₹ 3,00,000 received on 31.03.2026 from government of Tamil Nadu towards urban land acquired by it. 40% of enhanced compensation interest pertains to previous year 2024-25.
2. Narayanan transferred 1000 shares of BS Ltd to AB Pvt. Ltd on 01-06-2025 for a consideration of ₹ 2,00,000 when the fair market value of the same as on transaction date was ₹ 3,00,000. cost of acquisition of shares for Narayanan was ₹ 2,75,000. The transfer was effected off market on which securities transaction tax was not paid. BS Ltd is a closely held unlisted company.
3. Mr. A received ₹ 5,00,000 on 1st March, 2026 from Sree Pushpaka Charitable Trust for meeting his medical expenses. The trust is registered under Section 12AB of Income Tax Act.

Solution

1. Interest on enhanced compensation received on 31.03.26 from Government of Tamil Nadu (including 40% of interest on enhanced compensation relating to P.Y. 2024 -25) would be deemed to be the income of P.Y. 2025-26, being the year in which it is received irrespective of the method of accounting followed by the assessee. Interest of ₹ 3,00,000 on enhanced compensation is chargeable to tax during the P.Y. 2025-26 after providing deduction of 50% under section 57. Therefore, ₹ 1,50,000 is chargeable to tax under the head “Income from other sources”.
2. In the hands of Mr. Narayanan:
Since the consideration of ₹ 2,00,000 is less than ₹ 3,00,000, being the fair market value of unquoted shares of BS Ltd., the fair market value of shares i.e., ₹ 3,00,000 would be deemed to be the full value of consideration.
Accordingly, ₹ 25,000 [₹ 3,00,000 - ₹ 2,75,000, being cost of acquisition] would be liable to tax as long term capital gains in the hands of Mr. Narayanan.
In the hands of AB Pvt. Ltd.:
Shares received by AB Pvt. Ltd. from Mr. Narayanan for inadequate consideration is chargeable to tax, since the difference exceeds ₹ 50,000. Accordingly, ₹



1,00,000, being the difference between aggregate Fair Market Value of the shares i.e., ₹ 3,00,000 and consideration i.e., ₹ 2,00,000 would be chargeable to tax under the head “Income from other sources”.

3. The sum of ₹ 5,00,000 received from Sree Pushpaka Charitable Trust, without consideration, for meeting medical expenses would not be chargeable to tax in the hands of Mr. A, since the same is received from a trust registered under section 12AB.

Illustration 09 [PYQ May 2024]

Mr. Ravi received an advance of ₹ 2,00,000 on 10.5.2025 from a closely held manufacturing company (private company in which the public are not substantially interested) in which he holds 22% shareholding. The company had an accumulated profit of ₹ 1,00,000 at the time of giving the advance. Compute the amount of income to be included in the hands of Mr. Ravi for the assessment year 2026-27 and also state the head under which it is to be included.

Solution

In the present case, the amount of advance of ₹ 2,00,000 received by Mr. Ravi from closely held manufacturing company would be deemed as dividend to the extent of accumulated profit of ₹ 1,00,000, since Mr. Ravi holds 22% shareholding in the company which is not less than 10% of the voting power in the company.

Accordingly, deemed dividend of ₹ 1,00,000 would be taxable in the hands of Mr. Ravi under the head “Income from Other Sources” for the A.Y. 2026-27.

Illustration 10 [PYQ May 2025]

Discuss the taxability with reason in the hands of recipient for the assessment year 2026-27 in respect of following receipts or income:

- a) Mr. Ram received a sum of ₹ 5,00,000 from his father on Ram's wedding anniversary.
- b) Mr. Govind sold his house property to Mrs. Radha for ₹ 1,25,00,000, where as value determined by stamp valuation authority was ₹ 1,75,00,000.
- c) Ms. Agastha got a gift of car worth ₹ 7,00,000 from her friend on her wedding anniversary.

Solution

	Taxable/ Non-taxable	Reason
(i)	Non-taxable	Sum of money exceeding ₹ 50,000 received without consideration by Mr. Ram from his father is not taxable under section 56(2)(x) since the sum is received from a relative i.e., father of Mr. Ram.
(ii)	Taxable	The difference of ₹ 50 lakhs between stamp duty value of ₹ 1,75,00,000 and actual consideration of ₹ 1,25,00,000 is taxable under section 56(2)(x) in the hands of Mrs. Radha since the difference exceeds ₹ 12,50,000, being the higher of ₹ 50,000 and 10% of consideration.



		₹ 50 lakhs is taxable in the hands of Mrs. Radha.
		₹ 175 lakhs is to be considered as deemed sale consideration for the purpose of computing capital gain in the hands of Mr. Govind.
(iii)	Non-taxable	Car is not included in the definition of property for the purpose of section 56(2)(x). Therefore, the car received by Ms. Agastha from her friend is not taxable.

